

FINANCIAL RATIOS									
☐	Historical Performances of last 10 years:								
☐	· Gross margin								
☐	· EBITDA Margin								
☐	· EBIT Margin								
☐	· Return on Equity								
☐	· Return on Capital employed								
☐	· Return on Assets								
☐	Does the company generate ROE more than 15%.								
☐	Does the company generate ROCE more than 12%								
OWNERSHIP									
☐	Who are the major investors in the company?								
☐	What is Promoters holding? Is there any change in last 2-5 Years?								
☐	Have the promoters bought any additional stake in the business recently?								
☐	Are the Institutional investors increasing or decreasing their ownership in the company?								
VALUATION									
☐	What is the book value of company and per share?								
☐	What is Market Value/ Earnings?								
☐	Enterprise Value/EBITDA								
☐	Does the company have good expected return on Exit Multiple Table?								
☐	Are the valuation ratios within the historical valuation bands?								
☐	What is company's Growth rate in terms of?								
☐	· Earnings								
☐	· EBITDA								
☐	· Free Cash Flow								
☐	Are there any risks or threats to the survival of the company in next 5 years?								
QUESTIONS TO ASK									
☐	Does company have room to expand its core business?								
☐	Can it survive for long?								
☐	What are the 2-3 major risk factors? Eg: Ban on Plastic is Major risk for Plastic bag MFT.								
☐	Can you imagine yourself holding this company's stock for 5 years?								
☐	If someone had unlimited resources, what are the chances that they could become a good competition?								
☐	Will it help you diversify your Portfolio in business?								
☐	Has it earned good returns consistently in the past? Will it sustain?								
☐	Is something changing in the business? New product/ Management/ M&A/ Entry in new markets								



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